

Balance-Sheet Analysis (*Concluded*)

OUR DISCUSSION in the preceding chapters has related chiefly to situations in which the balance-sheet exhibit apparently justified a higher price than prevailed in the market. But the more usual purpose of balance-sheet analysis is to detect the opposite state of affairs, *viz.*, the presence of financial weaknesses that may detract from the investment or speculative merits of an issue. Careful buyers of securities scrutinize the balance sheet to see if the cash is adequate, if the current assets bear a suitable ratio to the current liabilities, and if there is any indebtedness of near maturity that may threaten to develop into a refinancing problem.

WORKING-CAPITAL POSITION AND DEBT MATURITIES

Basic Rules Concerning Working Capital. Nothing useful may be said here on the subject of how much cash a corporation should hold. The investor must form his own opinion as to what is needed in any particular case and also as to how seriously an apparent deficiency of cash should be regarded. On the subject of the *working-capital ratio*, a minimum of \$2 of current assets for \$1 of current liabilities was formerly regarded as a standard for industrial companies.

But since the late 1920's a tendency towards a stronger current position developed in most industries, and we find that the great majority of industrial corporations show a ratio well in excess of 2 to 1.¹ There is some tendency now to hold that a company falling below the average of its

¹ See Appendix Note 61 for comprehensive data with reference to industrial corporations listed on the New York Stock Exchanges at the end of 1938. See also the annual compilations in *Moody's Manual of Industrials*.